06 Analysis and interpretation

Corrected Topical Answers

3 selected hard questions

Exact mark-scheme extracts enlarged for clear reading

Contents

ANSWER / MARKING POINTS

5(a) — 4 marks

Trade receivables turnover	(days)
workings	answer
$\frac{12\,400}{191\,000} \times \frac{365}{1}$ **whole formula(1)**	24 days **(1)**

Trade payables turnover	(days)
workings	answer
$\frac{7\,000}{120\,000} \times \frac{365}{1}$ **whole formula(1)**	22 days **(1)**

ANSWER / MARKING POINTS - continued

<table>
<tr><td>5(b)(i)</td><td>Answers to be based on OF answers to (a)
<table>
<tr><td>Ahu</td><td>Omer</td></tr>
<tr><td>Allows trade receivables a longer credit period (1)</td><td>Allows trade receivables a shorter credit period (1)</td></tr>
<tr><td>Has an inefficient credit control system/slower to resort to legal action (1)</td><td>Has a more efficient credit control system/quicker to resort to legal action (1)</td></tr>
<tr><td>Offers no cash discount/lower rate of cash discount for prompt payment (1)</td><td>Offers cash discount/higher rate of cash discount for prompt payment (1)</td></tr>
<tr><td>Charge no interest/lower rate of interest on overdue Accounts (1)</td><td>Charge interest/higher rate of interest on overdue Accounts (1)</td></tr>
<tr><td>Does not make use of invoice discounting and factoring (1)</td><td>Makes use of invoice discounting and factoring (1)</td></tr>
</table>
Accept other valid points
(Max 2)</td><td>2</td></tr>
</table>

ANSWER / MARKING POINTS - continued

<table>
<tr><td>5(b)(ii)</td><td>Answers to be based on OF answers to (a)

<table>
<tr><td>Ahu</td><td>Omer</td></tr>
<tr><td>Is allowed a longer credit period by trade payables(1)</td><td>Is allowed a shorter credit period by trade payables (1)</td></tr>
<tr><td>Suppliers offer no cash discount/lower rate of cash discount for prompt payment (1)</td><td>Suppliers offer cash discount/higher rate of cash discount for prompt payment (1)</td></tr>
<tr><td>Suppliers charge no interest/lower rate of interest on overdue accounts (1)</td><td>Suppliers charge interest/higher rate of interest on overdue accounts (1)</td></tr>
<tr><td>Credit customers take longer to pay (1)</td><td>Credit customers pay more quickly (1)</td></tr>
<tr><td>Has less liquidity/is less able to pay the suppliers (1)</td><td>Has more liquidity/is more able to pay suppliers (1)</td></tr>
<tr><td>Is a more established customer so suppliers may be more flexible on credit period taken (1)</td><td>Is paying quickly in order to establish a good relationship with suppliers (1)</td></tr>
</table>

Accept other valid points
(Max 2)</td><td>2</td></tr>
</table>

<table>
<tr><td>5(c)</td><td>
<table>
<tr><td>Advantages of employing marketing manager</td><td>Disadvantages of employing marketing manager</td></tr>
<tr><td>May increase sales and may increase profit (1)</td><td>Manager’s salary will increase expenses (1)</td></tr>
<tr><td>May improve business reputation/brand image (1)</td><td>Increased cost of marketing/marketing expenses (1)</td></tr>
<tr><td>Can utilise experience and skills of manager (1)</td><td>Manager may not be experienced/effective (1)</td></tr>
<tr><td>May increase market share (1)</td><td>Increase in sales/profit may be less than salary (1)</td></tr>
<tr><td>Accept other valid points</td><td>Accept other valid points</td></tr>
</table>
(Max 4)

Recommendation (1)</td><td>5</td></tr>
<tr><td>5(d)</td><td>Establish a credit limit for each customer (1)
Issue invoices and statements promptly (1)
Improve credit control/maintain good credit control system (1)
Refuse further supplies until outstanding balance paid (1)
Take legal action if necessary (1)
Allow cash discount for prompt payment (1)
Sell on a cash basis only/reduce credit sales (1)
Accept other valid points
(Max 3)</td><td>3</td></tr>
</table>

ANSWER / MARKING POINTS - continued

5(e)	Matching To ensure that the revenue of the accounting period is matched against the costs of the same period **(1)** Prudence Profit should not be anticipated but all possible losses should be provided for **(1)** To ensure that profits and assets are not overstated **(1)** To ensure that losses and liabilities are not understated **(1)** **(Max 1)** Consistency To ensure that accounting methods are used consistently from one period to the next **(1)** To allow comparison of financial statements from year to year **(1)** **(Max 1)** Business entity To ensure that the accounting records relate only to the business **(1)** To ensure that the business is treated completely separately from the owner of the business **(1)** **(Max 1)**	**4**

ANSWER / MARKING POINTS

<table>
<tr><td>5(a)</td><td>
<table>
<tr><th>Ratio</th><th>Workings</th><th>Answer</th></tr>
<tr><td>Inventory turnover
(correct to 2 decimal places)</td><td>$\frac{24\,074 + 278\,429 - 25\,600\ \mathbf{(1)}}{(24\,074 + 25\,600)/2\ \mathbf{(1)}}$
$= = \frac{276\,903}{24\,837}$</td><td>11.15 times (1)</td></tr>
<tr><td>Trade receivables turnover
(round up your answer to the nearest whole day)</td><td>$\frac{42\,375 \times 365}{392\,600}$ (1) for formula</td><td>40 days (1)</td></tr>
<tr><td>Trade payables turnover
(round up your answer to the nearest whole day)</td><td>$\frac{21\,603 \times 365}{278\,429}$ (1) for formula</td><td>29 days (1)</td></tr>
</table>
</td><td>7</td></tr>
<tr><td>5(b)</td><td>Advantages (2)
Reduced administration – debt collection company will manage debt collection
Owner can spend more time on other areas of the business
Money received from credit customers quicker / improved cashflow / improved liquidity / trade receivables turnover will improve
Reduced risk of irrecoverable debts
Reduced need to borrow to finance working capital
Accept other valid points
Max 2
Disadvantages (2)
Cost/fees of debt collection company
May damage relationship with customer
Credit sales may reduce
Maybe a lack of communication between the agency and the owner / may not be effective in improving debt collection
Accept other valid points
Max 2
Recommendation (1)</td><td>5</td></tr>
</table>

<table>
<tr><td>5(c)</td><td>Improve credit control policy (1)
Issue regular statements & invoices (1)
Offer cash discount for prompt payment (1)
Charge interest on overdue accounts (1)
Max 2</td><td>2</td></tr>
<tr><td>5(d)(i)</td><td>Reduce cost of purchases (1)
Increase selling price (1)
Changing the proportions of types of goods sold (1)
Max 1</td><td>1</td></tr>
<tr><td>5(d)(ii)</td><td>Improve gross profit (1)
Control / reduce overall expenses (1)
Increasing other income (1)
Max (1)</td><td>1</td></tr>
<tr><td>5(e)(i)</td><td>Azim
Journal
<table>
<tr><th>Details</th><th>Debit
$</th><th>Credit
$</th></tr>
<tr><td>Drawings</td><td>340 (1)</td><td></td></tr>
<tr><td>Purchases</td><td></td><td>340 (1)</td></tr>
</table></td><td>2</td></tr>
<tr><td>5(e)(ii)</td><td>
<table>
<tr><th></th><th>increase</th><th>decrease</th><th>no effect</th></tr>
<tr><td>gross profit</td><td>✓ (1)</td><td></td><td></td></tr>
<tr><td>closing capital</td><td></td><td></td><td>✓ (1)</td></tr>
</table></td><td>2</td></tr>
</table>

ANSWER / MARKING POINTS

4(a)	Gross margin $\frac{112\,300-(12\,800+72\,250-14\,650)}{112\,300}=\left.\frac{41\,900}{112\,300}\right\}\textbf{(1)}\times 100=37.31\%$ **(1)OF** Profit margin $\frac{(41\,900\ \textbf{OF}-19\,820)}{112\,300}=\left.\frac{22\,080}{112\,300}\right\}\textbf{OF (1)}\times 100=19.66\%$ **(1)OF** Rate of inventory turnover $\frac{(12\,800+72\,250-14\,650)}{(12\,800+14\,650)/2}=\frac{70\,400\ \textbf{(1)}}{13\,725\ \textbf{(1)}}=5.13$ times **(1)OF** Current ratio (14 650 + 12 700) : (7125 + 5375) = 27 350 : 12 500 **(1) whole formula** = 2.19 : 1 **(1)OF** Liquid ratio 12 700 : (7125 + 5375) = 12 700 : 12 500 **(1) whole formula** = 1.02 : 1 **(1)OF**	**11**

ANSWER / MARKING POINTS - continued

4(b)	**Advantages** May be able to increase sales/gain more customers by reducing selling price **(1)** **OR** May be able to increase sales/gain more customers by extra advertising **(1)** Profit may increase if sales increase **(1)** The gross margin may improve **(1)** Can respond to increase in demand **(1)** The inventory should not lose value **(1)** **Max (2)** **Disadvantages** Expenses increase/profit decreases due to the increased advertising costs **(1)** Demand for that particular type of inventory may decrease **(1)** Inventory may deteriorate over time **(1)** Goods may be of inferior quality **(1)** Already has a large amount of inventory **(1)** May increase storage costs **(1)** May require an increased bank overdraft/reduce liquidity/decrease liquid ratio **(1)** Advertising does not guarantee increase in sales **(1)** **Max (2)** **Accept other valid points** **(1) for recommendation**	**5**
4(c)	**Either** Accounting methods must be used consistently from one accounting period to the next **(1)** **Or** Accounting methods should not be changed unless there is a good reason for doing so **(1)** **Either** This means that accurate comparisons can be made from year to year **(1)** **Or** The profit of a particular year will not be distorted **(1)** **Max (2)** **Accept other valid points**	**2**

ANSWER / MARKING POINTS - continued

4(d)	Business reputation/goodwill **(1)** Reliability of workforce/skills of workforce/ staff morale/working conditions **(1)** Actions of competitors **(1)** Government decisions **(1)** Location of business **(1)** **Max (2)** **Accept other valid points**	**2**

Question	Answer	Marks
5(a)(i)	Sew and Soup Club Subscriptions account	**6**